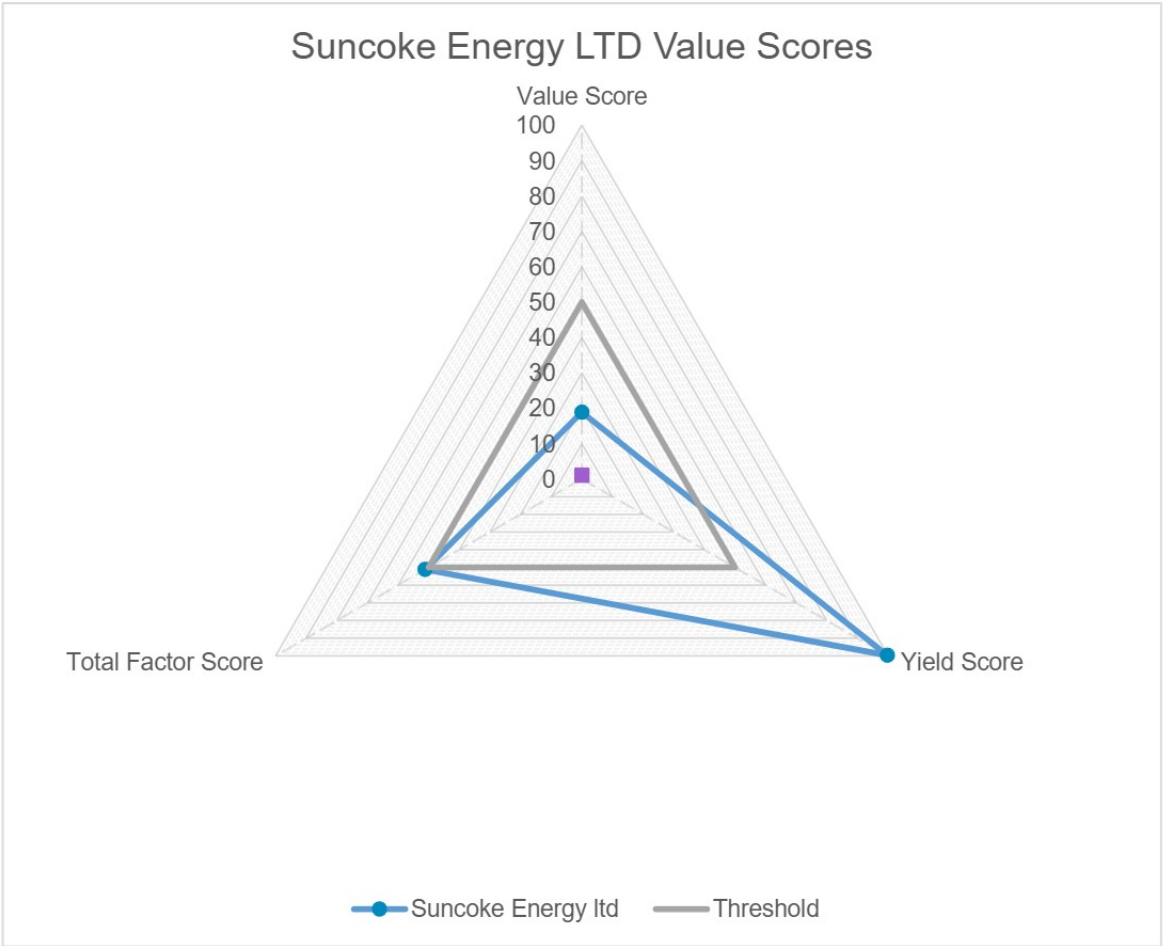


ANALYST	Aman Sankla
ISSUE DATE	10/08/2026
COMPANY	SUNCOKE ENERGY INC
TICKER	SXC
PRICE AT ISSUE	~ \$9.40



QESM SCORES



BUSINESS IN BRIEF

SunCoke Energy, Inc. supplies coke to domestic and international customers. The Company's coke is used in the blast furnace production of steel as well as the foundry production of casted iron. Its process utilizes a heat-recovery technology that captures excess heat for steam or electrical power generation

BUSINESS

SunCoke Energy is the largest independent producer of high-quality metallurgical coke in the Americas. It operates through two segments: Domestic Coke, which converts metallurgical coal into coke at heat-recovery facilities in Indiana Harbor (IN), Middletown (OH), Haverhill (OH), Granite City (IL), and Jewell (VA); and Industrial Services, which handles coal and bulk materials at river and lake terminals.

Revenue is generated via long-term, take-or-pay coke supply contracts — primarily with Cliffs Steel and U.S. Steel — and terminal throughput fees. The company was spun off from Sunoco in 2011 and entered the foundry coke market in 2021, broadening its customer base.

In August 2025, SunCoke completed the \$325M acquisition of Phoenix Global, materially expanding its Industrial Services segment and terminal handling volumes. The company is fully sold out on coke for FY2026

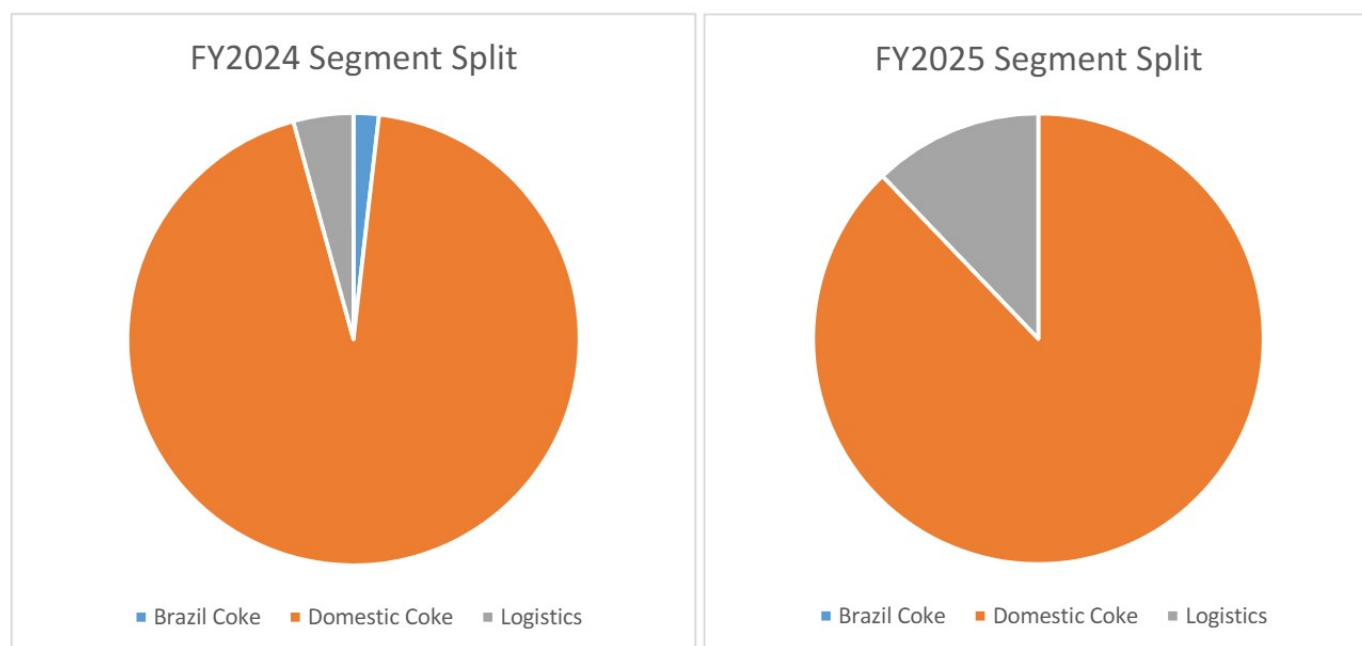
VOLATILITY & LIQUIDITY

	SXC Equity	MXWOIM Median Constituent
36M Vol	39.22%	12.63%
260D Vol	43.91%	12.04%
30D Vol	55.16%	12.63%

SXC is approximately 3.5-4.4x more volatile than the median MXWOIM constituent across all measured periods. The elevated 30-day volatility (55.16%) relative to the 36-month figure (39.22%) indicates that market uncertainty has increased recently. This reflects a combination of acquisition integration risk following the Phoenix Global transaction, exposure to cyclical steel and metallurgical coal markets, and the company's relatively small market capitalisation and lower liquidity. As a small-cap, commodity-linked industrial business, SXC should be expected to exhibit materially higher share price volatility than the broader market and should be sized accordingly.

BALANCE SHEET AND FINANCIAL STATEMENT ANALYSIS

Total Revenue - Q2 2026 results suggest a positive turnaround in earnings momentum. Revenue increased to \$475.3m from \$434.1m in Q2 2025, while Adjusted EBITDA rose 59.6% to \$69.6m. The improvement was driven primarily by the Phoenix Global acquisition, stronger Industrial Services performance and higher terminal volumes. Despite ongoing headwinds from the Haverhill, shutdown and lower blast coke volumes, management raised FY2026 EBITDA guidance to \$250m-\$265m, indicating improving operating conditions and a more positive earnings outlook.

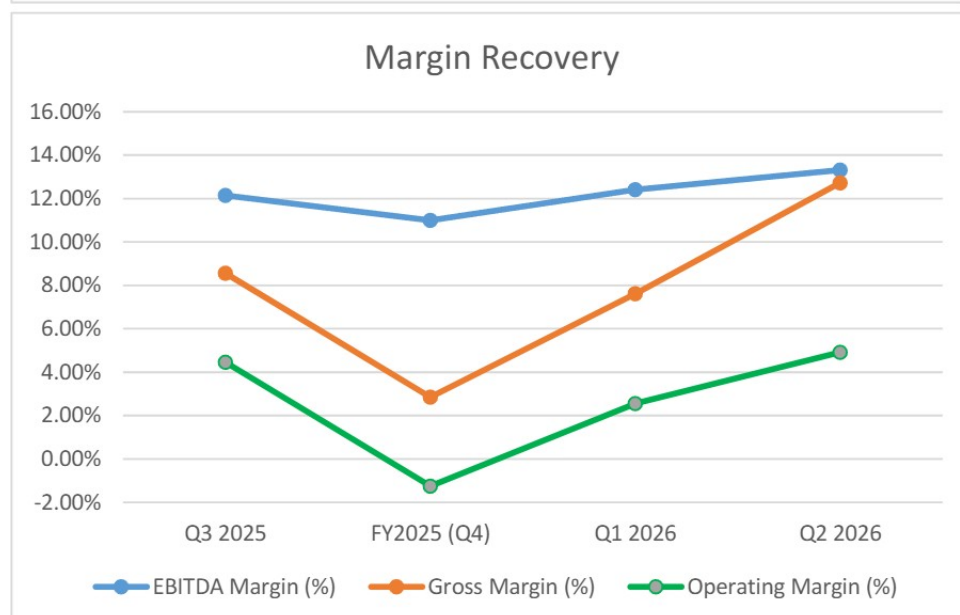
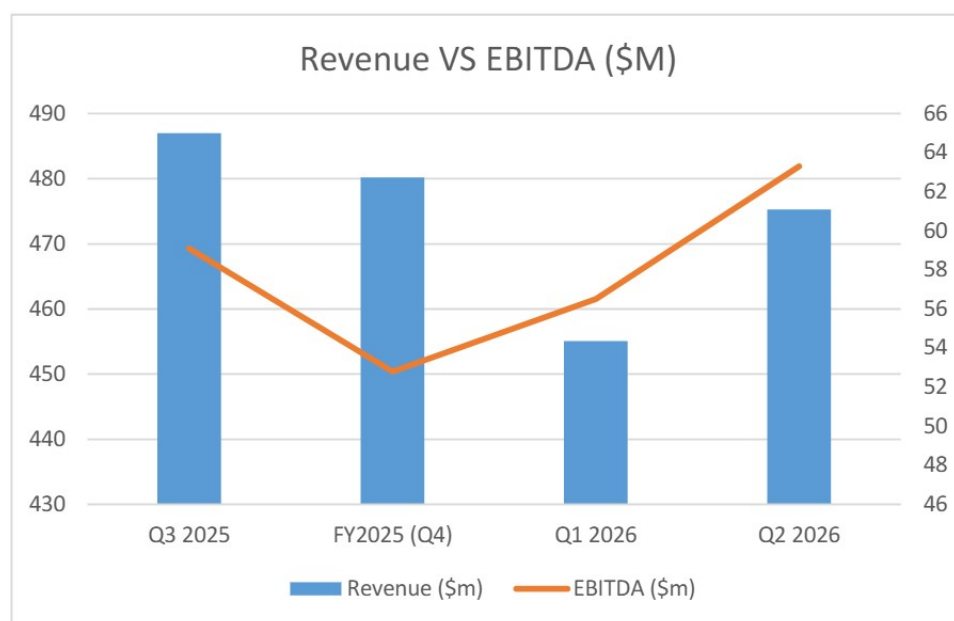


Brazil Coke was gradually phased out rather than suddenly removed. **Revenue** declined from approximately \$133 million in FY2023 to \$35 million in FY2024 and then to \$0 million in FY2025, causing its share of group revenue to fall from 6.5% to 1.8% and ultimately 0%. This suggests the Brazilian operation was likely wound down, divested, or ceased generating meaningful external sales, leaving SunCoke's business increasingly concentrated in its Domestic Coke and Logistics segments.

Gross profit - margins improved from 7.0% in Q2 2025 to 12.7% in Q2 2026, driven primarily by the Phoenix Global acquisition, stronger Industrial Services earnings and improved coke operations. This represents a meaningful recovery from the weaker profitability experienced during FY2025 and indicates improving earnings quality going into the second half of 2026

EBITDA - Following a weaker FY2025, EBITDA trends have strengthened significantly in 2026. Q2 EBITDA rose to \$63.3m from \$43.6m in the prior-year quarter, with EBITDA margins improving to 13.3% from 10.0%. The recovery reflects the benefits of the Phoenix Global acquisition, stronger Industrial Services performance and improved operating conditions within Domestic Coke. This represents a clear improvement relative to FY2025 and suggests that earnings headwinds from lower steel demand and the Haverhill I closure are being partially offset by growth and diversification initiatives

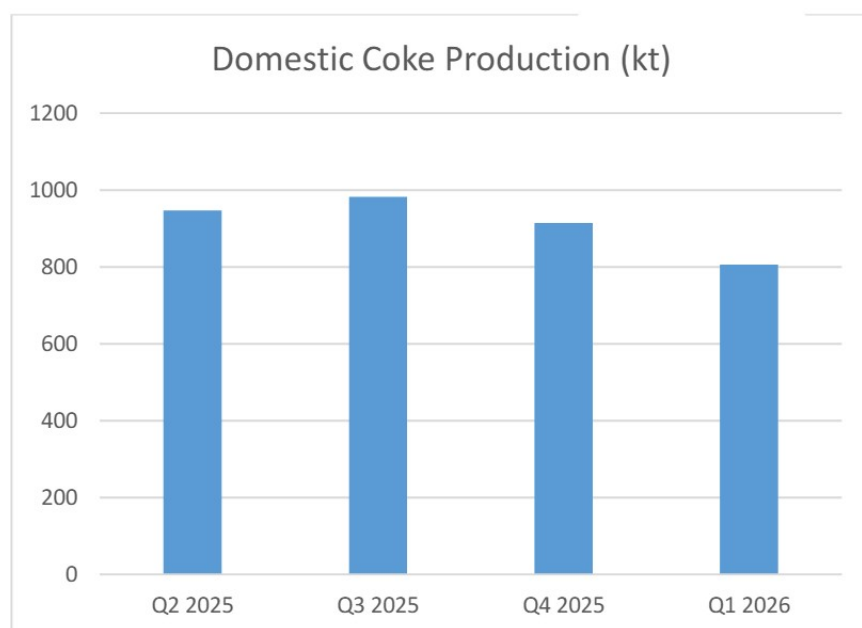
Diluted EPS increased to \$0.15 in Q2 2026 compared with \$0.02 in Q2 2025 and a EoY FY2025 loss of \$1.00 per share. The recovery reflects improved operating profitability following the Phoenix Global acquisition, alongside stronger Industrial Services performance and better operating conditions within the Domestic Coke segment. Overall, the trend is positive and indicates a meaningful improvement in earnings quality entering the second half of FY2026.



FY2025 profitability was impacted by the Haverhill I shutdown, the Algoma contract dispute, weaker steel market conditions and significant impairment charges. These factors reduced volumes, pressured margins and resulted in a sharp deterioration in earnings.

Results have improved materially in 2026, with Q2 EBITDA rising to \$69.6m from \$43.6m and EPS increasing to \$0.15 from \$0.02. Management cited “excellent operating performance” across both the Domestic Coke and Industrial Services segments, with Phoenix Global driving strong growth in Industrial Services EBITDA and customer diversification. Reflecting the improving outlook, management increased FY2026 EBITDA guidance to \$250-265m from \$230-250m and expects free cash flow of \$150-160m, supporting further deleveraging and shareholder returns.

SunCoke shut down the Haverhill I facility following the Algoma contract dispute. The facility was not sold; instead, SunCoke recognised a \$90.3m non-cash impairment charge and associated site-closure costs.



Domestic coke production declined from 982kt in Q3 2025 to 806kt in Q1 2026, primarily due to the Haverhill I shutdown following the Algoma contract dispute. Lower production volumes typically reduce revenue and profitability, contributing to weaker earnings during FY2025. However, management has subsequently improved operating efficiency and coal-to-coke yields, enabling Domestic Coke EBITDA to recover despite reduced volumes, suggesting that profitability is becoming less dependent on production growth alone.

Key risks to profitability include weaker steel demand, customer concentration within the Domestic Coke segment, the gradual industry shift towards electric arc furnace steel production

FINANCIAL STRENGTH RATINGS

Bloomberg DRSK score not available

At an **Altman Z-Score 1.703** as of 2026-08-05,

At 1.703, SXC's Altman Z-Score falls **below the 1.80 distress threshold**. This is primarily a function of the post-acquisition leverage increase in FY2025. The score should be interpreted alongside the improving Q2 2026 operating trajectory and the fact that the company continues to generate positive free cash flow and pay dividends. Nonetheless, it warrants monitoring as a risk.

ANALYSIS OF ENVIRONMENTAL, SOCIAL & GOVERNANCE CHARACTERISTICS

SunCoke's core business sits within the coal value chain, exposing it to structural headwinds from the global energy transition. Declining demand for metallurgical coal — driven by the potential adoption of electric arc furnace (EAF) steelmaking and carbon regulation — represents the most significant long-term risk to both the Domestic Coke and Industrial Services segments.

Customer concentration is a material vulnerability: most coke revenues are derived from Cliffs Steel and U.S. Steel. Loss of either customer, or a reduction in blast furnace utilisation, could materially impair financial performance.

On the opportunity side, SunCoke's heat-recovery coke making technology is among the cleanest available, meeting or exceeding Maximum Achievable Control Technology standards. The company has expanded into foundry coke (since 2021) and logistics, diversifying revenue streams. The Phoenix acquisition significantly scales the Industrial Services segment.

Climate-related physical risks (flooding, extreme weather) could disrupt terminal and plant operations. SunCoke's Board Governance Committee oversees climate risk, and the company publishes an annual Sustainability Report.

Over the last 5 years, the company has an average LSEG ESG score of 55.61, and a median ESG score of 57.31. LSEG ESG score is calculated as a sum of weighted individual pillar scores. For SXC, Environmental, Social, and Governance pillars are weighted 35.20%, 40.25%, and 24.56% respectively in ESG score weighting, consistent with companies within the Metals & Mining industry groups.

Board is 83% independent (5 of 6 directors), with an independent non-executive Chairman, 50% female representation, and 100% independent Audit and Compensation Committees. Say-on-pay approval was 96.0% in 2025 and 95.1% in 2024, reflecting strong shareholder alignment with compensation designs.

Katherine Gates became CEO on 15 May 2024 after serving as President since January 2023. Her first major strategic decision — the \$325M Phoenix Global acquisition, SXC has returned -9.6% since Gates' appointment (15 May 2024 to 10 August 2026)

PROSPECTS

CFO Mark W. Marinko announced retirement effective 2026-03-13. *Watch: CFO transition during a post-acquisition integration period introduces execution risk.*

SunCoke completed the \$325M acquisition of Phoenix Global on 2025-08-01. *Transformative: materially expands Industrial Services segment and terminal*

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SUMMARY

SunCoke's near-term earnings have recovered, but its longer-term prospects are weakening as steelmakers transition from blast furnaces towards electric arc furnaces, which require significantly less metallurgical coke. Future profitability is also threatened by customer concentration, uncertain contract renewals (especially since they have a highly concentrated low customer base) and potential carbon-related costs.

Although Phoenix Global provides diversification, it introduces integration risk and remains dependent on steel-industry activity. Given these structural pressures, elevated volatility and the strong return since purchase, the current earnings recovery provides an appropriate opportunity to sell before long-term demand risks become more pronounced

ANALYST CHECKLIST

Regular dividend paid	☒
No liquidity issues	☒
Enough free float	☒
No shareholders with superior voting rights	☒
No large pension deficit	☒
Healthy solvency ratios/Ability to meet debt obligations	☒